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ASIAN FINANCIAL CRISIS

1997

OUTLINE

WHAT	→	What was the Asian Financial Crisis?
CAUSE	→	What caused the Crisis?
IMPACT	→	Impact on Global Economy
LESSON	→	Policy Responses and Recovery Macroeconomic Analysis Lessons Learned

Overview of Crisis

WHAT

Major financial and economic crisis that originated in Thailand in 1997 and quickly spread to several East and Southeast Asian countries

CAUSE

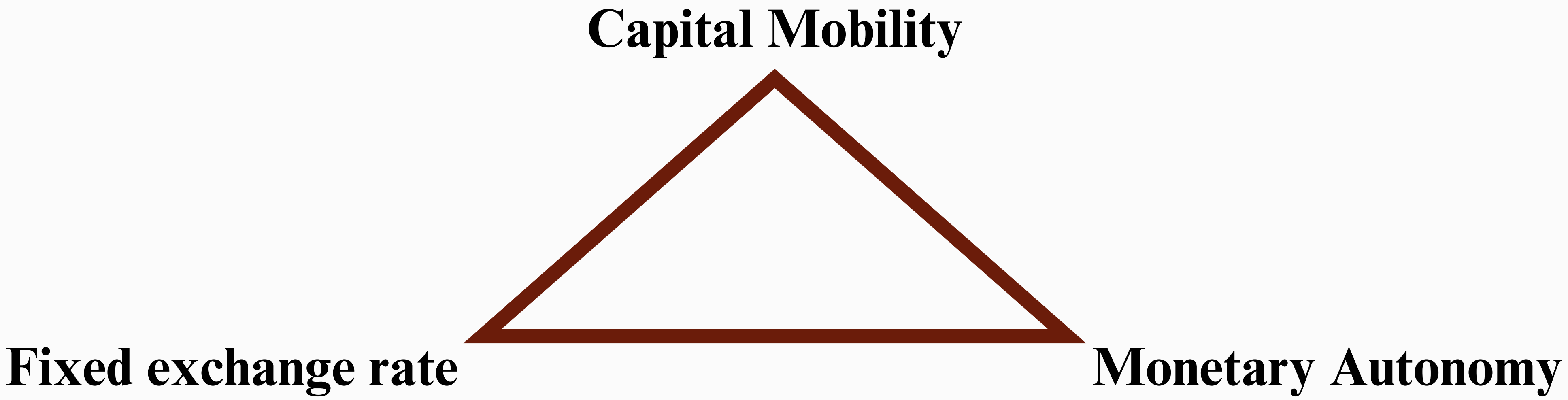
Impressive economic growth but lack of financial infrastructure and policy stability

IMPACT

Widespread economic hardship, banking failures, and investor panic across Asia

Thai simultaneously attempted three policy goals and failed

Mundell-Fleming Trillemma 1960s Framework



Three main factors that made up the crisis:

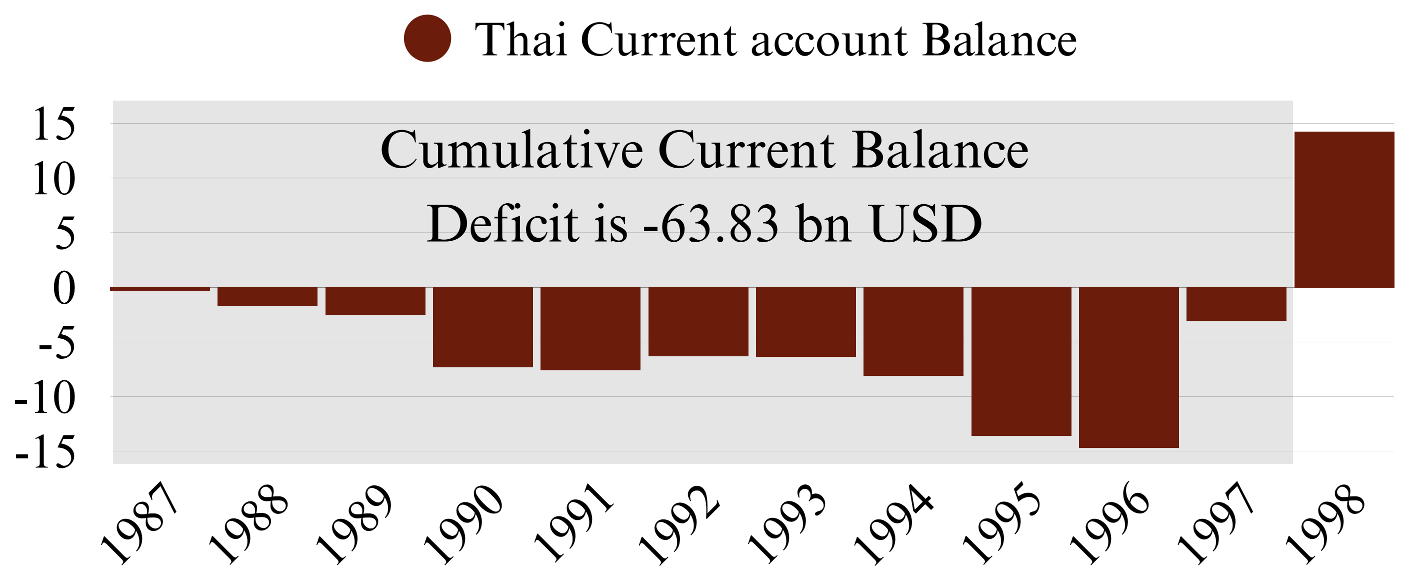
- **Financial Liberalization**
- **Fixed exchange rate regime**
- **Liberaliation of capital markets**

Key Factor	Action	Key Issue
Fixed exchange rate	Thailand pegged baht at 25 THB/USD for over decade	Excessive foreign borrowing in short-term loans (lenders and borrowers believed the peg would hold)
Capital Mobility	BIBF allowed easy access to foreign capital	Inflating asset bubbles and Encouraging risky lending
Monetary Autonomy	BoT attempted to control domestic interest rates without adjusting the exchange rate	Speculators attacked the currency

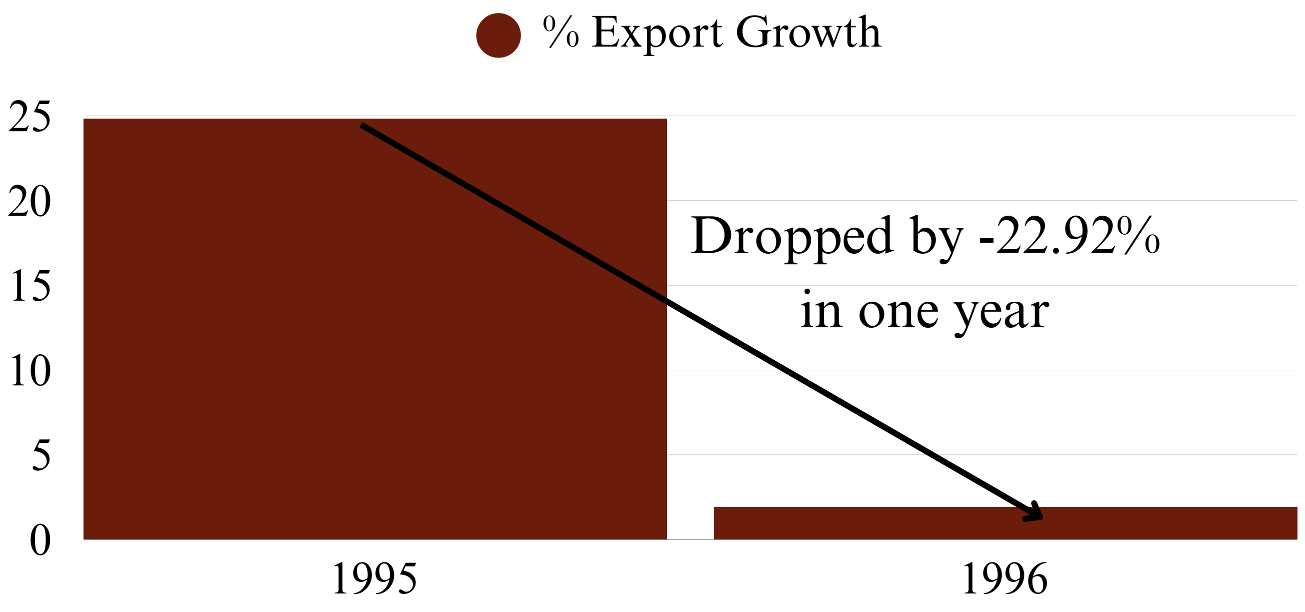
Breakdown of Thai deep-rooted structural weaknesses in monetary and fiscal policy

Key Macroeconomics Trigger Point	Implication

1. Continuous Current Account Deficits from 1987 to 1996



Reference: index mundi



Thailand was relying heavily on external financing, especially short-term capital inflows, to sustain its economic expansion.

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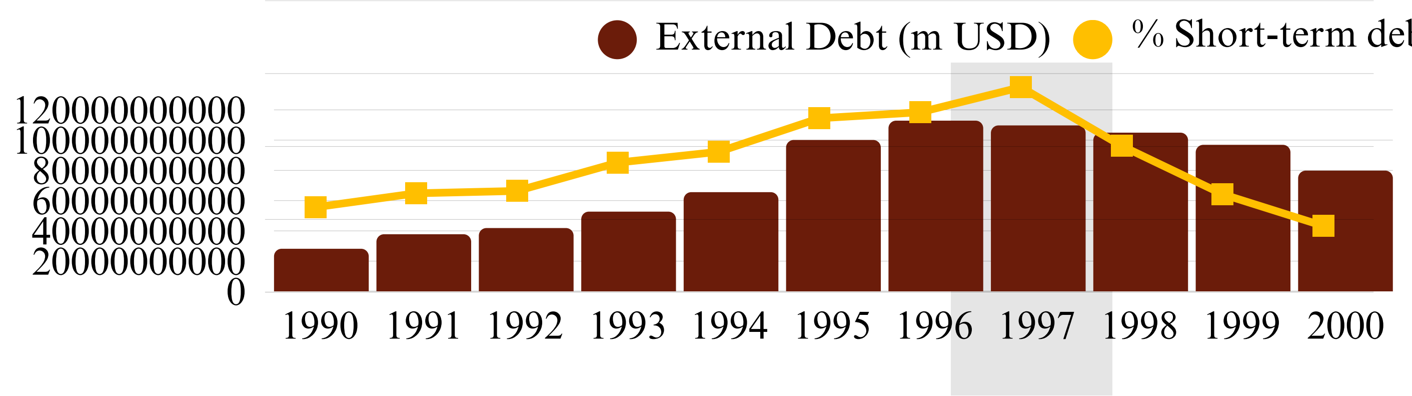
2. Accumulation of Foreign Debt and Liberalized Capital Flows



1997, External debt **surged to $109 billion** and nation's reserve **covered only 70.4% of short-term debt**

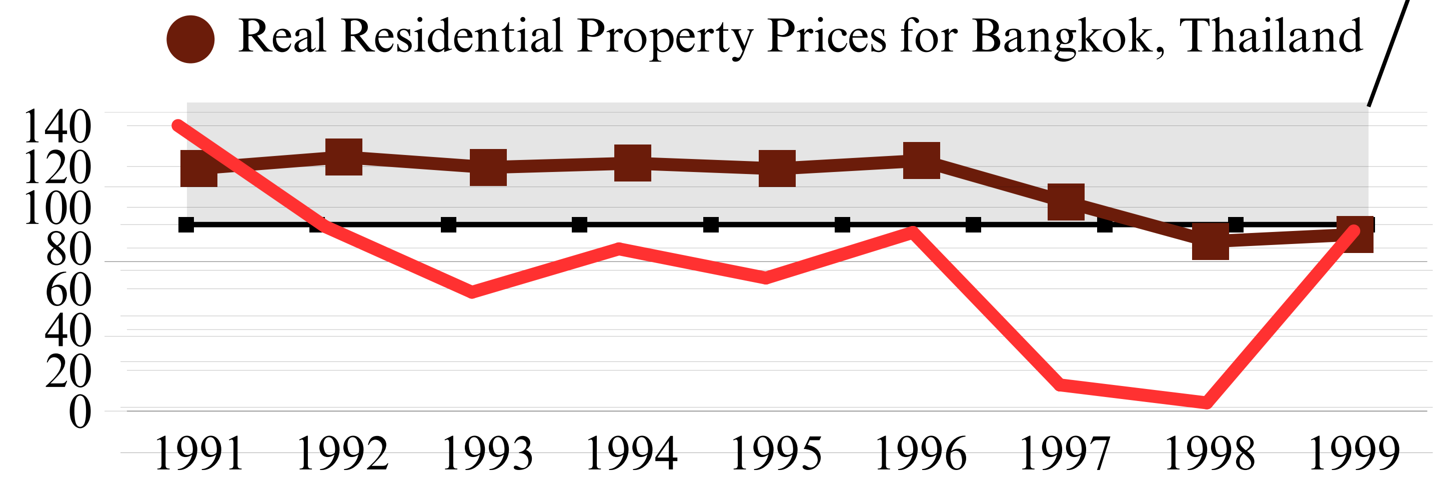
Reference: CEIC Data

Establishment of BIBF facilitated a massive inflow of short-term foreign capital

Breakdown of Thai deep-rooted structural weaknesses in monetary and fiscal policy

Key Macroeconomics Trigger Point	Implication

3. Overinvestment in Real Estate



1991 - 1997, Thai exceeded index line 2010 = 100

From 1991 to 1996, Thailand experienced massive expansion in land development, residential housing, office buildings, and condominiums saw significant **price increases signaling of an emerging bubble**.

Reference: FRED

Developers and financial institutions suffered huge losses, leading to widespread defaults.

4. Inefficiency of Financial Institutions

1996

Closure of 18 securities companies and 3 commercial banks

1997

Closure of 42 securities companies

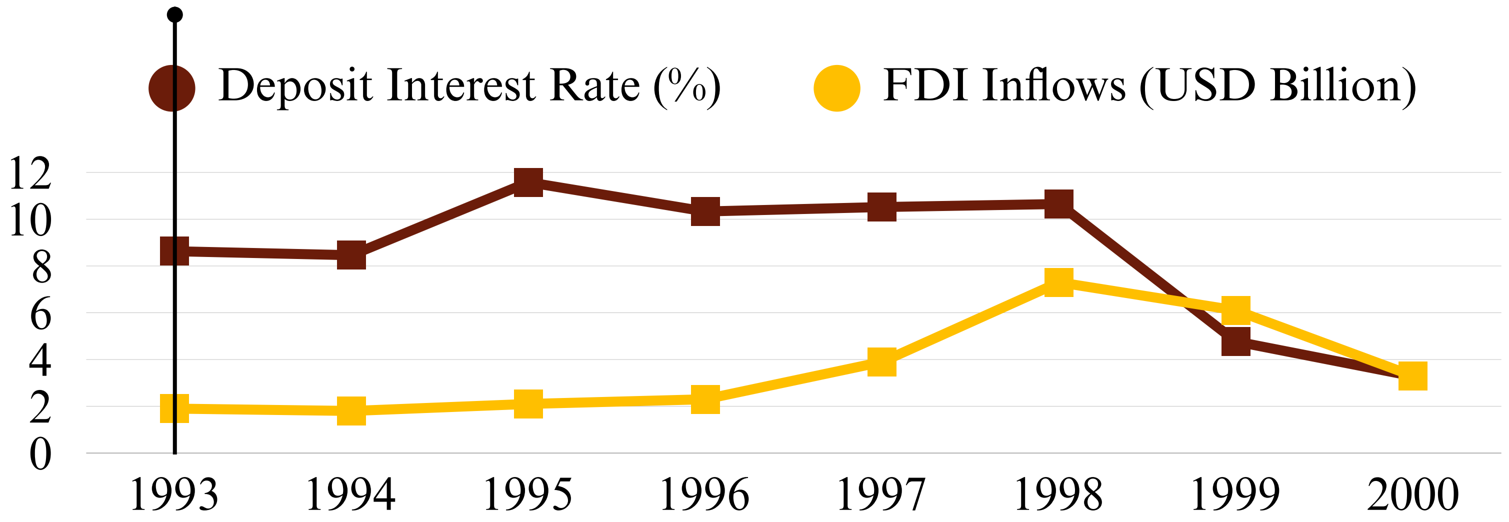
Poor Credit Assessment and Risk Management

Breakdown of Thai deep-rooted structural weaknesses in monetary and fiscal policy

Key Macroeconomics Trigger Point	Implication

5. Ineffectiveness in policy implementation

Establishment of BIBF*



Reference: World of Bank

Two potential issue:

1. BoT attempt to absorb liquidity to maintain the fixed exchange rate by selling more bond
2. Financial institution failing to detect and respond promptly to lax lending practices

Liberalization without adequate supervision and Fixed exchange rate in a capital-open environment

6. Currency Attack on the Thai Baht

+

"FOREX speculator Group"

*Domestic & International Commercial Banks
*Speculative Investors

Undermining the confidence of the Thai currency using country's fundamental

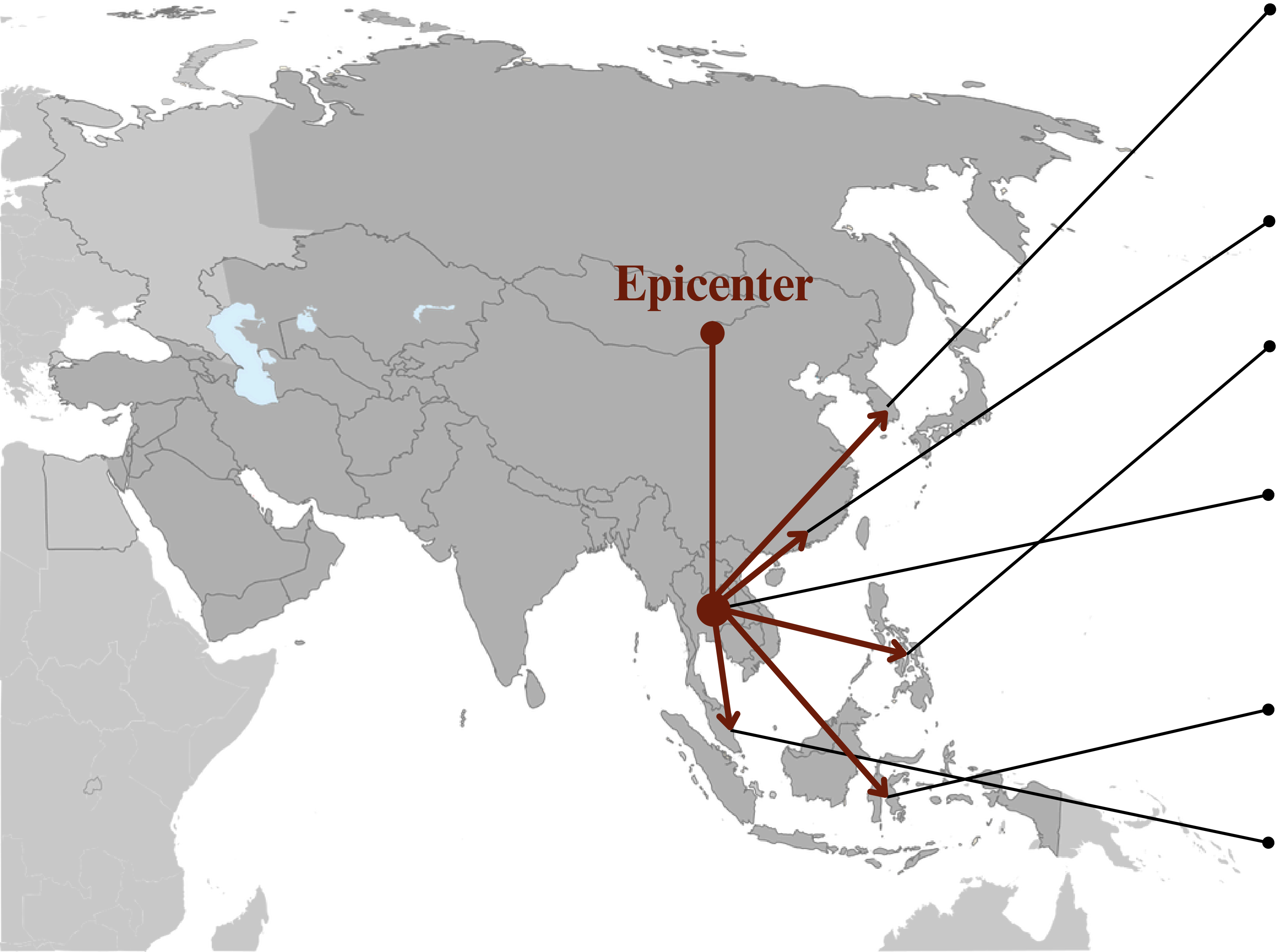
Thai SET Market Crash & Thai baht devalued

Used of amlost total reserve to protect Thai baht

Bank of Thailand

Triggered capital flight and Massive reserve losses

Timeline of hard-hit East Asian nations



- **South Korea** Early 1998
  - Faced severe balance-of-payments crisis
  - Nearly defaulted on external debt
- **Hong Kong** Late 1997
  - Faced speculative attacks on its currency peg to the USD
- **Philippines** Mid-Late 1997
  - Allowed their currencies to depreciate
- **Thailand** July 2, 1997
  - Thailand devalued the baht
  - Abandoned its fixed exchange rate to the USD
- **Indonesia** Mid-Late 1997
  - Allowed their currencies to depreciate
- **Malaysia** Mid-Late 1997
  - Allowed their currencies to depreciate

Reference: Wikipedia

1997 The Crisis Erupts → **1998 Crisis Spreads and Deepens**

Asian Financial Crisis caused global contagion.

Country	Major National Impact
Thailand	Widespread recession in East Asia
Malaysia	Massive capital outflows
Philippines	Banking collapses
Indonesia	Currency crises
Hong Kong	
South Korea	

Spillovers to Latin America & Eastern Europe**

East Asia

Brazil, Argentina, Mexico
Russia, Ukraine, Bulgaria, Romania
→ Investor confidence shaken globally